



Dr. V.K. Garg, CMD, PFC receiving the 'Navratna Status' certificate from the Hon'ble Union Finance Minister, Shri P. Chidambaram on 22nd June, 2007

■ PFC Ranks Highest Amongst Indian Financial Institutions

✓ Sanction per employee	Rs. 99 crore
✓ Disbursement per employee	Rs. 45 crore
✓ Profit per employee	Rs. 3 crore

The above has been amply demonstrated in the variety of products and services that had been introduced from time to time to meet borrowers' requirements. PFC had also provided value to its clients by improving their operational and managerial capabilities and also by assisting them in their reform and restructuring programmes.

PFC has been acting as a 'Change Agent' and playing a catalytic role in bringing about reforms and restructuring of the power sector and is ensuring that power sector becomes economically and commercially viable consistent with its vision and mission. Various strategic initiatives are enumerated below:

■ RATINGS

Rating Agency	Long Term borrowings	Short Term Borrowings
CRISIL	'AAA'	'P1+'
ICRA	'LAAA'	'A1+'
Moody's	Baa3	At par with 'Sovereign' rating
Standard & Poor's	BBB-	
FITCH	BBB-	

■ Operations at a Glance

The following table sets forth the growth statistics for the years as indicated:

(Rs. in crore except %)

	FISCAL YEAR					CAGR
	2003	2004	2005	2006	2007	%
Sanction	14,001	16,472	18,573	22,502	31,146	22%
Disbursements	7,341	8,975	9,409	11,681	14,055	18%
Operating Income	2,641	2,822	2,838	3,020	3,928	10%
Profit After Tax as Restated	1,033	1,018	971	975	986	-1%
Net Worth	4958	5520	5997	6505	8043	13%
Loan Assets	20,805	24,827	29,520	35,603	43,903	21%
Total Assets	22,490	26,673	31,146	37,490	44,551	19%

PFC is operating through a lean but highly motivated and effective manpower that is generating more than Rs. 3 crore per employee profit with relatively small operating expenditure. PFC has negligible NPAs and attractive RoA with CRAR of more than 18.

It has increased its investment over 3 fold to Rs. 51,460 crore in X Plan compared to its IX Plan investments. At the end of X Plan, it has a Loan Assets Rs. 43,903 crore with almost NIL NPA's (0.06% of Total Assets).

PFC, a sector specific DFI in the Power Sector has established itself as a leading FI with a 20% share of relevant power sector investment in the country during X Plan. During the next 5 years PFC plans to target a market share of 25% in the power sector investment. During this period based upon the disbursement plan of Rs. 1,28,150 crore and taking into account repayments received from borrowers, repayments to be made to lenders, internal accruals etc. PFC plans to raise borrowings of about Rs. 1,20,000 crore. This includes mobilization of resources from international and domestic market in the form of Term Loans, Bonds, FCNR, Short Term Loans, Commercial Papers etc.

In line with its Vision, PFC has supplemented the efforts of power utilities in implementing their power projects with timely financial assistance at competitive rates thereby contributing towards development of the sector. In its developmental role, PFC has proactively supported Govt's Reform programme, linking its lending to borrowers reform related actions that has resulted into a sustainable development of Indian Power Sector.

■ Ultra Mega Power Projects

To meet the burgeoning demand of electricity, accelerated capacity addition programme has been put in place for the XI plan. This momentum should be required to be sustained in subsequent plans as well. There is need to develop large capacity projects at the national level to meet the requirements of a number of States. Ultra Mega Power Projects are steps in that direction. The projects will substantially reduce power shortage in future. Recognising the fact that economies of scale leading to cheaper power can be secured through development of large size power projects, Ministry of Power, CEA, and PFC are working in tandem for development of some projects under tariff based competitive bidding route. The Ultra Mega Power Projects with each having a capacity of 4000 MW, would also have scope for expansion in future as well. The size of these projects being large, will meet the power needs of a number of States through transmission of power on regional and national grids.

PFC has successfully completed the process of 'Concept to Award' of the three (3), 4,000 MW each Coal based Thermal Power Plants in very objective and transparent manner.

The successful developers of these 3UMPPs have been selected based on the lowest-evaluated levelised tariff quoted by them. While the Sasan and Krishnapatham UMPPs have been awarded to M/s Reliance Power Ltd., the Mundra UMPPs has been awarded to M/s Tata Power Company.

■ Consulting and Advisory Services

PFC's Consultancy Services Unit has grown in operations manifold in providing its services and has generated an atmosphere of competitive pricing and confidence in its clients in the areas where PFC has been providing such services.

Till now, Consultancy Services Unit has worked with '35' Clients across '20' States. Some of the assignments are repeat orders which exhibit the Client's satisfaction with the services provided in the past.